FIN-012 · Personal finance

Retirement contribution sketch

Replace the sample figures before you rely on the result.

The sample starts with R20,000, adds R1,500 a month, and assumes 7% a year for 25 years. The illustrated balance is about R1,329,616. The cash you would have paid in is R450,000. The gap is growth under that assumption. If the assumption is wrong, the balance is wrong.

How to use the workbook

1. Enter savings you have today and the contribution you can keep paying.
2. Type the return as a decimal. Seven percent is 0.07.
3. Read the illustrated balance and the contributions row together.
4. Take the printout to a fund or adviser. Do not treat it as their quote.

Worked example

Contributions over 25 years are R450,000 before growth.

- At a 7% assumption the sketch is about R1.33 million.
- A lower assumption will produce a lower sketch. Change B5 and look again.

A practical routine

- Review the contribution when your pay changes.
- Subtract fees in your head or ask the provider for a net illustration.
- This sheet does not know your retirement age, tax, or inflation.

This workbook organises figures you type in. It is not financial, credit, insurance, or tax advice. Rates, fees, and laws change. A qualified adviser should review decisions that affect debt, tax, medical cover, or retirement.